

Venus Pipes & Tubes Ltd

NSE: VENUSPIPES | BSE: 543528

STRUCTURAL GROWTH

Report date: 12 July 2026

Company Summary

Venus Pipes & Tubes Limited is a manufacturer and exporter of stainless steel pipes and tubes, based in Dhaneti (Kutch), Gujarat. The company makes seamless and welded tubes/pipes across five product categories, and has recently forward-integrated into fittings and (upcoming) pipe spooling. It serves 80+ Fortune 500 companies and exports to more than 30 countries. Listed on the BSE (543528) and NSE (VENUSPIPS) since its May 2022 IPO, the company trades at a market capitalization of approximately ₹3,745 crore as of 10 July 2026 (price ₹1,807.90).

MARKET CAP

₹3,745 Cr

PRICE

₹1,807.90

52-WEEK RANGE

₹890 – ₹1,875

SECTOR

Industrials – Capital Goods

Value Chain Positioning

Upstream, Venus buys stainless steel raw material and has increasingly backward-integrated into semi-finished Mother Hollow Pipe manufacturing (100% of its seamless capacity). Midstream, it manufactures seamless and welded pipes/tubes and has forward-integrated into fittings & flanges and (upcoming) pipe spooling — moving from a components supplier toward an engineered-solutions provider. Downstream, it sells to EPC contractors, OEMs and PSUs (e.g. BHEL) and, newly, directly to a data-center operator for spooled piping. End markets span domestic India (66% of FY26 revenue) and exports to Europe, the US and the Middle East (34%).

UPSTREAM

Stainless steel raw material; increasingly self-supplied via captive Mother Hollow Pipe (100% of seamless capacity)



THE COMPANY — VENUS PIPES & TUBES LTD

Seamless + welded SS pipe/tube manufacturer, forward integrating into fittings & flanges and pipe spooling



DOWNSTREAM CUSTOMERS

EPC contractors, OEMs, PSUs (e.g. BHEL – power sector), data center operators (new spooling line)



END MARKET

Oil & gas, power, chemicals, pharma, engineering (domestic 66% FY26); exports Europe/US/Middle East (34% FY26); new-age: data centers, semiconductors, solar

Situation Classification

Structural growth, with cyclical/commodity sensitivity as a secondary factor. Venus just completed a multi-year capex program — revenue compounded at a 31.8% 5-year CAGR (FY22–FY26) — and is now forward-integrating into pipe spooling for the data-center segment, backed by a signed ₹185cr LOI. This is evidenced execution, not just narrative. At the same time, EBITDA margin (16.3% FY26 vs 17.5% FY25) and PAT margin (8.7% vs 9.7%) both compressed year-on-year, and exports fell in Q4 due to the Middle East conflict — real cyclical/commodity exposure alongside the growth story.

Near Term (Next 1 to 2 Quarters)

- **Order Book Visibility to ₹685cr** [On Track]: order book of ₹450cr, plus a ₹185cr data-center LOI and an ₹50cr BHEL tender (L1), gives combined visibility of ₹685cr, ~30% export. “We can say our volume will be near about INR685 crores visibility we are already having.”
- **BHEL Tender Conversion (~₹50cr)** [Pending]: expected to convert within 30–45 days of the 26 May 2026 call. “We had already L1 in some of the tender... almost more than INR50 crores order we're L1.”
- **New-Sector Approval Conversions** [Pending]: recent oil & gas, sewage-treatment and chemical approvals expected to convert further. “We are hopeful out of them, some must be converted in the coming quarters to come.”

Medium Term (6 to 12 Months)

- **FY27 Revenue Growth Guidance (>20%)** [Pending]: “For FY27, we see it should be at least more than 20% growth.”
- **Spooling Facility Commissioning** [On Track]: trial runs Q2 FY27, commercial production mid-Q3 FY27, operational by December 2026; capex already underway.
- **FY27 Capex Guidance (₹90–100cr)** [Pending]: total consolidated capex — spooling plus base-business maintenance.

Long Term (1+ Years)

- **EBITDA Margin Expansion to ~18% by FY28** [Pending]: guided moving from 16.3% (FY26) towards 17% then 18% by FY28.
- **Data Center Segment as a New, Higher-Margin Business Line** [On Track]: management frames this as a structural move up the value chain, ~3x asset turn at full utilization.
- **Sustained Export Mix of 30–35%** [Pending]: expected to hold once Middle East conditions normalize, anchored by Europe and the US.

Marquee & Niche Customers

- **Bharat Heavy Electricals Ltd (BHEL):** named, repeat power-sector PSU customer; current ₹50cr tender L1, further tenders expected Q2 FY27.
- **Unnamed leading data center operator:** ₹185cr spooling LOI, Venus's first order in this segment.
- **80+ Fortune 500 companies across 30+ countries:** broad scale claim; individual names not disclosed as text (logos only).
- No top-customer concentration % was disclosed.

Capex, Milestones & Certifications Timeline

2016–2025	ISO 9001/14001/45001, AD2000-W0 (TÜV NORD), IBR, BIS, NABL certifications <i>Achieved</i>
May 2025	3,600 MTPA value-added welded pipe capacity commissioned <i>Achieved</i>
Nov 2025	1,800 MTPA value-added seamless pipe capacity commissioned <i>Achieved</i>
Oct 2025	₹71.4cr warrant conversion completed (full, no lapse) <i>Achieved</i>
FY26	JCO press (~₹12cr) installed for longer-length welded pipes <i>Achieved</i>
FY26 (ongoing)	6.1 MW solar power installation (~₹22cr, ~₹6cr/yr savings) <i>In progress</i>
May 2026	4,200 MTPA seamless + Mother Hollow backward integration + fittings capacity commissioned (total seamless capacity added: 6,000 MTPA vs 4,800 planned) <i>Achieved</i>
Q2 FY27	Spooling facility trial runs <i>Planned</i>
Mid-Q3 FY27 / by Dec 2026	Spooling facility commercial production (data center segment) <i>Planned</i>
FY27	₹90–100cr total consolidated capex guided <i>Planned</i>
FY28	EBITDA margin target ~18% <i>Planned</i>

Financial Performance Summary

FY	Revenue (₹cr)	YoY %	Gross Margin %	EBITDA (₹cr)	EBITDA Margin %	PBT (₹cr)	PAT (₹cr)	PAT Margin %
FY22	386.9	—	18.6%	49.3	12.7%	42.9	31.7	8.2%
FY23	552.4	+42.8%	19.5%	69.1	12.5%	59.7	44.2	8.0%
FY24	802.2	+45.2%	28.3%	146.3	18.2%	115.6	85.9	10.7%
FY25	958.5	+19.5%	33.3%	167.6	17.5%	125.4	92.9	9.7%
FY26	1,166.8	+21.7%	34.0%	190.6	16.3%	137.3	101.9	8.7%
5-yr CAGR	31.8%			40.2%	+360bps		34.0%	+50bps

REVENUE CAGR (5YR)

31.8%

PAT CAGR (5YR)

34.0%

FY26 EBITDA MARGIN

16.3%

FY26 PAT MARGIN

8.7%

Both EBITDA and PAT margin compressed in FY25 and again in FY26 even as revenue and absolute profit grew — rising depreciation and finance costs on debt-funded capacity additions have outpaced operating leverage so far.

Balance Sheet Anomaly Check

FY	Trade Receivables (₹cr)	Debtor Days	Cash & Equiv. (₹cr)	Short-term Borrowings (₹cr)
FY22	73.5	69	0.0	54.4
FY23	70.5	47	10.8	65.8
FY24	177.1	81	1.0	115.3
FY25	192.0	73	2.9	163.5
FY26	259.9	81	6.2	195.0

Debtor days nearly doubled in FY24 (47→81) and stayed elevated through FY26 — corroborated by Infomerics' own "elongated operating cycle" comment in its rating rationale (see Promoter/Governance below), not just this report's own read. Cash on hand has also stayed thin relative to short-term borrowings in every year shown. Neither point is disqualifying — both are consistent with a working-capital-heavy capex-funded growth phase — but both are real and carried through to Key Risks below.

Segment-wise Performance

By product line — FY26 vs FY25

Segment	FY26 Revenue (₹cr)	% of Total	YoY Growth
Seamless Pipes	675.4	58%	+24%
Welded Pipes	420.8	36%	+20%
Others	70.6	6%	+7%
Total	1,166.8	100%	+22%

Exports vs. Domestic — FY26 vs FY25

Geography	FY26 Revenue (₹cr)	% of Total	YoY Growth
Domestic	766.7	66%	+24%
Exports	400.1	34%	+18%
Total	1,166.8	100%	+22%

Order Book

As-of Date	Order Book (₹cr)	Basis	Composition	Source
26 May 2026	450	Standalone, excl. data-center LOI	~40% export / ~60% domestic	Q4 FY26 concall
26 May 2026	685 (total visibility)	₹450cr + ₹185cr LOI + ₹50cr BHEL tender	~30% export / ~70% domestic	Q4 FY26 concall

March 2026 order book of ₹450cr is ~20% below March 2025's ~₹575cr, attributed by management to a large one-off BHEL order the prior year rather than a demand slowdown.

Manufacturing Locations & Physical Assets

- **Dhaneti, Kutch, Gujarat** — sole manufacturing facility, near Kandla and Mundra ports.
- **Land bank:** 2,66,282 sq. mt. total, including 15 acres purchased in FY26 for future expansion.
- **Lines on-site:** seamless and welded pipe lines; captive Mother Hollow Pipe backward integration; a newly commissioned fittings line; an Acid Regeneration Plant; a 6.1 MW captive solar facility under installation (~₹6cr/yr expected savings).
- **Notable machinery:** tandem JCO press (~₹12cr, FY26) for longer-length welded pipes — only a handful of Indian players can manufacture this length.
- **Installed capacity:** 27,600 MTPA welded + 20,400 MTPA seamless = 48,000 MTPA total, 100% backward-integrated on the seamless line.
- No other manufacturing sites are disclosed in the sources reviewed.

Raw Material Import Dependency

No company-specific import % or country-of-origin breakdown for Venus's stainless steel raw material was found in the sources reviewed this run (screener.in, the investor presentation, the concall transcript) — the FY26 annual report, where this is customarily disclosed, wasn't accessible this run. Management's own qualitative framing: raw-material sourcing was explicitly named as a supply-chain risk point during FY26's global disruptions, and backward integration into Mother Hollow Pipes was framed as insulation from "raw material volatility" — implying real external sourcing exposure existed before that integration, though without a quantified %. Revisit with direct annual-report access on the next refresh.

Capacity Utilization & Headroom

Line	FY26 Utilization	FY26 Revenue (₹cr)	Ceiling at 100% Util. (₹cr)	Headroom	High-Util. Flag
Seamless	90–95%	675.4	~730	~8%	Yes — at/above 85%
Welded	60–65%	420.8	~673	~60%	No

Seamless is already at/above the 85% high-utilization threshold — near-term growth depends on the already-commissioned May 2026 expansion ramping, not on running the line harder. Welded has substantial room to grow on existing capacity. No post-capex maximum-revenue figure was disclosed by management for either line.

Valuation — Forward PE

Input	Value	Source/Basis
Revenue guidance	₹1,400cr (implied)	FY26 ₹1,166.8cr × management's >20% FY27 growth guidance
PAT margin used	8.7%	Assumed — trailing FY26 actual (mgmt guided EBITDA margin only)
Shares outstanding	2.07cr	Equity capital ₹20.7cr ÷ ₹10 face value
Forward EPS	₹59.07	Revenue guidance × margin ÷ shares
Price	₹1,807.90	Tickertape, 10 Jul 2026

Input	Value	Source/Basis
Forward PE	30.6x	Price ÷ Forward EPS
Median PE (company, historical)	~30–37x	Sources disagree on window: MoneyWorks4Me calls current 36.79x "in line with 5-yr median"; another source cites a 25-35x 5-yr range

Arithmetic on management's growth guidance and an assumed (trailing) margin, not management's own margin guidance — a real limitation since PAT margin has compressed for two straight years. Against its own history, 30.6x forward sits within (not above) the ~30-37x median-PE range — not being asked to re-rate above its own norm, though the median-PE sources themselves disagree by several points. No like-for-like peer forward-PE comparison is presented since Ratnamani's business mix differs materially.

Industry Tailwinds / Headwinds

- **Data center / AI infrastructure buildout (Tailwind):** fast-growing new demand pool for SS spooling/cooling piping in India.
- **BHEL fabrication bottleneck easing (Tailwind):** industry-wide backlog expected to clear as BHEL expands fabrication capacity.
- **Rising stainless-steel input costs (Headwind):** prices up ~6–7% from Dec 2025 lows.
- **Middle East conflict (Headwind):** disrupted export order flow from that region industry-wide.

Competitive Positioning: Peer Comparison, Entry Barriers & Product Criticality

Company	IP / Tech Moat	Niche/Marquee Customers	Certifications	Other Differentiator
Venus Pipes & Tubes	Integrated pipe+fitting+spooling under one roof	BHEL; unnamed data-center operator (₹185cr LOI)	ISO 9001/14001/45001, IBR, BIS, NABL, AD2000-W0	100% backward-integrated seamless capacity; port-proximity location
Ratnamani Metals & Tubes	Established spooling (nuclear-focused); broader duplex/super-duplex range	Oil & gas, power, petrochemical majors	Not independently verified	~₹18,207cr market cap (~5x Venus); spooling EBITDA margin ~35% (analyst estimate)
Suraj Ltd	Not independently verified	Pharma, food-processing	Not independently verified	~₹450–560cr market cap (much smaller)

Ratnamani leads on spooling-business maturity and scale, in a different end-market (nuclear vs. data center). Venus's differentiator is being first among Indian SS pipe makers to combine pipe+fitting+spooling specifically for data centers — fabrication-only competitors reportedly lack this integration. Entry barriers: multi-year certification lead times (2016–2025), customer clean-room qualification, >₹200cr capital intensity for the current expansion alone, and captive pipe/fitting integration as a structural barrier in spooling specifically. Product criticality: for data centers, management frames piping failure as capable of destroying critical compute equipment — explicitly safety/mission-critical.

Technical Snapshot

As of 9–10 July 2026: price ₹1,807.90, having broken above ₹1,870 to a fresh 52-week high of ₹1,875 on 7 July 2026 (+23.4% trailing year). Trading above key daily moving averages with bullish weekly MACD/Bollinger/OBV alignment, but a bearish weekly RSI and bearish monthly MACD/KST suggest near-term consolidation risk — a mixed picture. This section is 2–3 days old and should be treated as stale if read later.

Promoter / Governance Track Record

Shareholding Pattern Trend

Quarter	Promoter %	FII %	DII %	Public/Other %
Jun'23	48.20	6.49	8.73	36.57
Mar'24	48.68	4.27	13.02	34.05
Dec'24	48.12	4.31	14.06	33.51
Mar'25	48.12	5.81	14.53	31.55
Dec'25	48.41	3.97	17.35	30.27
Mar'26	48.41	2.71	17.49	31.38

Promoter holding stable at ~48.4% over 12 quarters (full history available; alternate quarters shown above for brevity). FII holding fell (6.49%→2.71%) while DII holding rose (8.73%→17.49%) over the same period — stated as fact, not interpreted as a governance signal. No pledge, auditor qualification, or delayed filing was disclosed in the sources reviewed.

Promoter Fund Raises

Date	Instrument	Amount (₹cr)	Named Investors	Issue Price vs CMP	Status
29 Feb 2024 (converted 7 Oct 2025)	Preferential Warrants	71.4	Arun Kothari, Megharam S Choudhary, Jayantiram M Choudhary, Dhruv M Patel (all promoter-directors) + unnamed non-promoter co-allottees	₹1,700 vs ₹1,807.90 (~6% discount to CMP)	Converted — no lapse

All four named allottees are the company's own promoter-directors — this was an insider/promoter-family capital infusion, not participation by an external marquee investor.

Credit Rating Snapshot

Agency	Date	Rating	Outlook	Action
CRISIL	20 Jun 2025	Crisil A / A1	Positive	Upgrade (from A-/Positive)
Infomerics (IVR)	19 Dec 2025	IVR A / A1	Stable	Reaffirmed
CRISIL	23 Jun 2026	Crisil A / A1	Positive	Outlook revised (from Stable)

No downgrade or negative outlook on record from either agency. Infomerics' rationale is more measured than CRISIL's, explicitly citing FY25 margin moderation, an elongated operating cycle (independently corroborating the balance sheet anomaly check above), and project-execution risk from the ongoing capex.

Legal & Litigation

No material court case, tax dispute, or regulatory matter was identified in the sources reviewed. This report did not have direct access to the FY26 annual report's Contingent Liabilities note — absence of evidence here is not evidence of absence; revisit on next refresh.

Investment Thesis Summary

- **A multi-year capex cycle has been delivered, not merely promised:** the ~₹200cr expansion first flagged Feb 2024 is now confirmed fully commissioned as of the 26 May 2026 concall.
- **Data-center spooling entry is On Track with real interim evidence:** signed ₹185cr LOI, ₹70cr capex underway, stated Q2 FY27 trial / mid-Q3 FY27 commercial-production timeline.
- **Credit-rating trajectory is independently, positively trending:** CRISIL outlook revised to Positive (Jun 2026) following an upgrade just 12 months earlier (Jun 2025).

Tempering the thesis: margins have compressed for two consecutive years, debtor days have roughly doubled and stayed elevated since FY24, and seamless-line utilization is already at 90–95% — near-term growth beyond commissioned capacity depends on the spooling ramp executing on schedule.

Key Risks (Red Flags / Bear Case)

- **Margin compression despite revenue growth:** EBITDA margin 18.2%→17.5%→16.3% and PAT margin 10.7%→9.7%→8.7% over FY24–FY26, even as revenue grew.
- **Elongated working capital cycle:** debtor days nearly doubled in FY24 (47→81) and remain elevated through FY26 — independently corroborated by Infomerics' own "elongated operating cycle" comment. Cash on hand has stayed thin relative to short-term borrowings throughout.
- **Seamless-line capacity ceiling:** already at 90–95% utilization, only ~8% headroom on existing capacity.
- **Order-book base lower than a year ago:** March 2026's ₹450cr is ~20% below March 2025's ~₹575cr (inflated then by a one-off BHEL order).
- **Single-customer dependency in the new growth driver:** the ₹185cr data-center LOI is from one unnamed customer; no top-customer concentration % disclosed overall.
- **Raw-material import dependency not fully quantified:** management flags raw-material sourcing as a real supply-chain risk point, but no company-specific import % or country breakdown was found this run.
- **Export exposure to Middle East geopolitical risk:** Q4 FY26 exports fell 22% YoY on Middle East disruption.
- **Litigation coverage gap:** no direct access to the FY26 annual report's Contingent Liabilities note this run.

Verdict

Venus Pipes & Tubes is a **structural-growth story with genuinely delivered evidence, not just guidance** — a multi-year capex program is confirmed commissioned, the data-center spooling entry has a signed LOI and a stated commercial-production date, and both rated credit agencies have moved positively over the past 12–13 months. The single biggest open questions are whether margin compression (FY25 and FY26) reverses on schedule to support the FY28 18% EBITDA-margin target, and whether the elongated working-capital cycle (debtor days roughly doubled since FY23) normalizes as growth continues. Confidence level: **well-evidenced but not yet fully proven on margins and working capital.**

Sources

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